Apple Inc.

AAPL NASDAQ

Hold	$340.38 ▼ 0.75%	12M Price Target	52-Week Range	Market Cap
		$365.00	$243.42 – $348.15	$4.97T

AAPL: Near All-Time Highs, Smart Money Getting Cautious

WHAT HAPPENED

- AAPL slipped 0.75% to $340 on unusually light volume (14M vs normal 40-50M) — that's not panic selling, it's just nobody wanting to chase the stock up here near all-time highs. Translation: buyers are tired, sellers aren't desperate.
- Smart money is flashing yellow — the options market is slightly bearish (put/call at 0.97 means almost as many downside bets as upside), and an accounting officer just sold ~$428K of stock. Not a fire alarm, but worth noting insiders aren't buying at these levels.

WHY IT MATTERS

Here's the real story: Apple is sitting at 93% of its 52-week range with a ~$5 TRILLION market cap, and the easy money has been made. The massive unusual put buying at $340 strike (48K contracts, 13x normal open interest) tells me somebody with deep pockets is hedging against a near-term pullback — that's not retail, that's institutional protection. Meanwhile, Trump's second-term tariff regime remains the single biggest overhang: Apple still assembles the vast majority of iPhones in China and India, and any escalation in trade friction directly compresses their 45% gross margins. The stock can keep grinding higher IF holiday iPhone 17 sales beat and if Apple Intelligence finally drives an upgrade cycle, but at 43x forward earnings, you're paying growth-stock prices for a company growing revenue mid-single digits.

POLICY & POLITICAL WATCH

Three political fires to watch: (1) Tariffs — the administration's China tariff policy has carved out some exemptions for consumer electronics, but those are reviewed quarterly and could flip; every 10% tariff on Chinese-assembled iPhones costs Apple roughly $8-10B in margin if they can't pass it through. (2) The DOJ antitrust case against the App Store is still winding through courts — a loss could force Apple to allow sideloading, which Morgan Stanley estimates is a $15-20B services revenue risk. (3) The EU Digital Markets Act is already forcing Apple to open up iOS in Europe, and similar legislation is being quietly discussed in US Congress — if it gains traction, that's a direct hit to the highest-margin part of Apple's business.

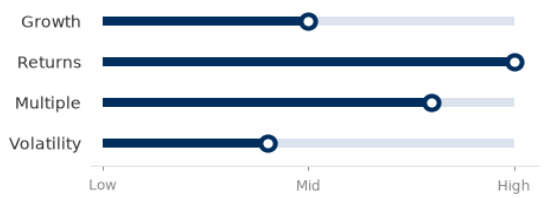
IS IT EXPENSIVE?

At $340, you're paying roughly $43 for every $1 of next year's earnings — that's expensive for a company growing revenue only 5-7% per year. For comparison, Microsoft trades around 32x and is growing faster. The bull case is that Apple's $100B+ annual buyback and services growth justify the premium, but historically Apple has traded at 25-30x, so you're paying up for an AI story that hasn't shown up in the numbers yet.

Key Data

Price (USD)	**$340.38**
12M Price Target	**$365.00**
Upside / (Downside)	**+7.2%**
Market Cap	**$4.97T**
FY2026E Revenue	**$445M**
FY2027E Revenue	**$478M**
FY2026E EPS	**$7.85**
FY2027E EPS	**$8.70**
Fwd P/E	**43.4x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

AAPL — Apple Inc. | October 20, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$355.00**	$342.00	**$325.00**
6 Months	**$380.00**	$350.00	**$300.00**
1 Year	**$410.00**	$365.00	**$285.00**
2 Years	**$475.00**	$400.00	**$270.00**
5 Years	**$650.00**	$500.00	**$300.00**
10 Years	**$900.00**	$650.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.2% today, +5.8% this week) is on fire — likely a defensive rotation as investors get nervous about tech valuations. Real Estate and Utilities also catching bids, which screams "investors are preparing for rate cuts and want yield."

COOLING OFF: Tech isn't in today's leaderboard at all — that's notable. When defensives lead and tech lags, it usually means the market is derisking.

ROTATION WATCH: Money is clearly rotating OUT of high-multiple tech and INTO rate-sensitive sectors (Healthcare, REITs, Utilities). That's a headwind for AAPL specifically because at 43x earnings, it trades like a growth stock even though it fundamentally isn't one anymore.

RELATED PLAY: If you believe in the Apple ecosystem story but want cheaper exposure, look at the suppliers — Broadcom (AVGO), Qualcomm (QCOM), and Taiwan Semi (TSM) all ride the iPhone cycle at lower multiples.

WHO'S WINNING IN THIS SPACE?

- LLY (Eli Lily): Healthcare leading today, GLP-1 drug demand continues to be the strongest consumer story in the market.
- JPM (JPMorgan): Financials catching a bid as yield curve steepens — banks make more money when the spread between short and long rates widens.

AAPL CONTEXT: Apple is lagging the broader market today, which fits a pattern we've seen for 2 weeks — the stock is consolidating sideways near all-time highs while leadership rotates to healthcare and financials. That's not bearish, but it tells you AAPL needs a specific catalyst (earnings, iPhone data, AI announcement) to break higher from here.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 3-5% of portfolio (core holding, don't overweight here)

Entry Points: $310-320 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: iPhone unit sales decline >8% YoY or DOJ antitrust ruling forces App Store breakup

Hedging: Buy Jan puts at $320 strike as cheap insurance, or pair with a short on a richer megacap

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